RESOLUTION OF THE MEMBERS OF BLUE RIDGE STREAM RESTORATION & MITIGATION LLC

RISK REMEDIATION & OPERATIONAL MITIGATION BYLAWS

Effective Date: May 30, 2026

PREAMBLE

WHEREAS, Blue Ridge Stream Restoration & Mitigation LLC (the "**Company**"), a Georgia limited liability company, is established to develop, permit, construct, and maintain stream and wetland mitigation projects, including Permittee-Responsible Mitigation (PRM) sites and mitigation banking projects in the USACE Savannah District under Clean Water Act (CWA) Section 404; and
WHEREAS, the Members of the Company (Co-Founder & Board Member: **Hadi Irvani**; Co-Founder & Managing Director: **Hunter Morris**) recognize the necessity of establishing concrete corporate covenants and risk remediation bylaws to directly address the five primary commercial, regulatory, and ecological vulnerabilities associated with high-gradient fluvial restoration operations; and
WHEREAS, this Resolution establishes binding operational covenants and legal frameworks to systematically remediate: (1) Working Capital Liquidity Gaps, (2) Credit Pricing Volatility, (3) The 7-Year Regulatory Monitoring Tail, (4) High-Gradient Flood Shear Stress & Hydrologic Extremes, and (5) Landowner Mortgage Lien Foreclosure Vulnerabilities.
NOW, THEREFORE, BE IT RESOLVED that the Company hereby adopts the following Risk Remediation & Operational Mitigation Covenants as permanent additions to the Company's Operational Bylaws:

SECTION 1: WORKING CAPITAL LIQUIDITY GAP RESOLUTION

1.1 The Working Capital Reserve Escrow (WCRE)
To bridge the cash flow mismatch between upfront geomorphic engineering/construction costs and the delayed regulatory credit release schedule of the USACE Savannah District, the Company shall establish a dedicated, interest-bearing **Working Capital Reserve Escrow (WCRE)** account with a qualified regional financial institution.

- **Mandatory Allocations**: A minimum of twelve point five percent (12.5%) of the gross cash proceeds from every stream mitigation credit sold (whether via banking release or direct Permittee-Responsible Mitigation [PRM] contract) shall be deposited directly into the WCRE.
- **Reserve Target**: The WCRE shall be funded up to a target cap of one hundred and ten percent (110%) of the projected geomorphic engineering, earthworks construction, and vegetative planting costs for the next subsequent active project phase.
- **Withdrawal Restrictive Covenants**: Withdrawals from the WCRE shall be strictly limited to direct, verified construction and permitting expenses on active sites. WCRE funds shall not be distributed to Members as distributions or salary unless the WCRE balance exceeds the 110% Reserve Target.

1.2 Upfront Developer Financing Covenants
For all Joint-Venture (JV) projects on private landowner parcels (e.g., the Roya's Cabin Anderson Creek project), the Company shall secure upfront developer financing using one of the following authorized structures:

1. **PRM Direct Developer Advance**: Structuring corporate purchases so that the end-user credit buyer (e.g., Georgia data center developers) pays a minimum of forty percent (40%) of the total contract value immediately upon executing the PRM agreement and prior to geomorphic mobilization.
2. **Private B2B Credit Lines**: Securing specialized green infrastructure lines of credit backed by the Company's active ledger of approved USACE credit inventory.

SECTION 2: CREDIT PRICING VOLATILITY & PRE-SALE HEDGING

2.1 B2B Forward-Sale Agreements
To protect the Company's operational margins from credit-market pricing declines or oversupply shocks in regional HUC-8 watersheds, the Managing Director shall execute structured **Forward-Sale Agreements (FSAs)** for unreleased or pending stream credits.

- **Pre-Construction Presales**: The Company shall target pre-selling between thirty percent (30%) and fifty percent (50%) of a project's anticipated total credit yield prior to geomorphic grading mobilization.
- **Floor Pricing Guarantees**: FSAs must contain a guaranteed baseline Floor Price (minimum $95.00 per Stream Mitigation Credit [SMC]) with a watershed index adjustment escalator matching regional inflation.
- **Target B2B Buyers**: Forward marketing shall be directed at local corporate infrastructure developers, hyperscale data center operators, and municipal water utility authorities with active development queues in matching HUC-10 watersheds.

SECTION 3: THE 7-YEAR REGULATORY MONITORING TAIL & LONG-TERM MANAGEMENT (LTM)

3.1 Long-Term Management (LTM) Endowment Trust
Under USACE Savannah District regulations, stream projects require active monitoring, maintenance, and reporting for a minimum of seven (7) to ten (10) years post-construction. To resolve this long-term liability tail:

- **Endowment Funding**: The Company shall set aside five percent (5%) of gross credit proceeds from every project to fund an **LTM Endowment Trust**.
- **Calculations**: The LTM Endowment shall be calculated using the capital capitalization formula:

LTM_{Cap} = \frac{Annual_Maintenance_Cost}{r}
where *Annual_Maintenance_Cost* represents the projected annual structural maintenance, geomorphic reporting, and vegetative replanting cost, and r represents the perpetual conservative risk-free return rate (assumed at 4.0%).
3.2 Automated Land Trust Transfer Covenants

- **Third-Party Easement Holders**: The Company shall partner with accredited, regional conservation land trusts (e.g., the Georgia Land Trust or Southeast Land Trust) to serve as the perpetual easement holder.
- **Easement Transfer Mechanics**: Upon completion of Year 5 of the USACE monitoring cycle and reaching geomorphic stable benchmarks, the Company shall execute a formal transfer of the easement monitoring and land maintenance duties to the Land Trust, utilizing the accumulated LTM Endowment to fund their long-term stewardship.

SECTION 4: FLOOD STRESS-TESTS & GEOMORPHIC HYDROLOGIC DESIGN

4.1 Geomorphic Stability Factor (SF_{shear}) Covenants
To protect restored channels from catastrophic geomorphic failure during extreme storm events, all Natural Channel Design (NCD) dimensions must satisfy strict shear stress safety factors.

- **Calculations**: For high-velocity mountain watercourses, the geomorphic boundary shear stress (τ_b) under peak discharges must satisfy:

$$SF_{shear} = \frac{\tau_{allowable}}{\tau_{design}} \ge 1.5$$

where $\tau_{allowable}$ represents the critical shear stress threshold of the vegetative and bioengineered bank boundaries (utilizing native Rhododendron root-binding systems), and τ_{design} represents the hydraulic boundary shear stress computed for the 100-year peak-flow recurrence storm event:

$$\tau_{design} = \gamma \cdot R \cdot S$$

($\gamma = 62.4 \text{ lb/ft}^3$ water unit weight, R is hydraulic radius, S is friction slope).

- **Rosgen Level II Geomorphic Specifications**: Restored channels must be geomorphically sized to accommodate the Rosgen bankfull discharge while preserving floodway access, ensuring peak storm energies are dissipated across the wider floodplain rather than concentrating inside the active channel.

4.2 Bioengineered Vegetation Moats
Restoration plans must incorporate Hunter Morris's specialized **Rhododendron Maximum Bioengineering Protocols** along the active bank toe, providing deep fibrous root reinforcement to resist lateral migration and block bank-slumping during rapid draw-down flood events.

SECTION 5: LANDOWNER MORTGAGE LIEN FORECLOSURE RESOLUTION

5.1 Strict Title Subordination Covenants
Conservation easements must hold a superior legal position on title to prevent foreclosure of a prior mortgage from extinguishing the conservation easement, which would trigger immediate USACE regulatory default, credit clawbacks, and massive financial damages.

- **Prior Lien Audit**: Prior to executing any mitigation agreement or recordation of a conservation easement on a landowner's parcel, the Company shall perform a comprehensive title search to identify all existing mortgages, liens, and encumbrances.
- **Mortgage Subordination Agreement**: The Company shall require the landowner's lender to execute a formal, recordable **Mortgage Subordination Agreement.** The agreement must contain the following language:

  > *"The Lender hereby subordinates its mortgage lien, security interest, and right of foreclosure on the Property to the Conservation Easement executed by Landowner in favor of Holder. Foreclosure of Lender's mortgage shall not extinguish, terminate, or otherwise modify the terms of the Conservation Easement or the CWA mitigation restrictions."*

5.2 The Landowner Mitigation Escrow Account (LMEA)
If a lender refuses to subordinate a prior mortgage, the Company shall establish a **Landowner Mitigation Escrow Account (LMEA)**:

- **Debt Service Reserve**: A portion of the credit-split payments owed to the Landowner under the JV contract shall be withheld and deposited directly into the LMEA to serve as a debt service reserve, ensuring the mortgage remains in good standing.
- **Direct Pay Agreement**: Alternatively, the Company shall secure a written agreement from the Landowner authorizing the Company to pay mortgage payments directly to the lender from the Landowner's credit-sale

split, preventing mortgage default and subsequent foreclosure risks.

SECTION 6: GOVERNANCE & AMENDMENTS

6.1 Unanimous Member Approval

These Risk Remediation & Operational Mitigation Bylaws are incorporated into the Company's permanent operating rules. Any modification, amendment, or waiver of the covenants, ratios, calculations, or subordination mandates established herein shall require the unanimous, written, and signed consent of all Members: **Hunter Morris** (Co-Founder & Managing Director) and **Hadi Irvani** (Co-Founder & Board Member).

CERTIFICATION OF CO-FOUNDERS

IN WITNESS WHEREOF, the undersigned, being the Co-Founders of Blue Ridge Stream Restoration & Mitigation LLC, do hereby execute, adopt, and certify these Risk Remediation & Operational Mitigation Bylaws as of the date first written above.

Hunter Morris
Co-Founder & Managing Director
Blue Ridge Stream Restoration & Mitigation LLC

Hadi Irvani
Co-Founder & Board Member
Blue Ridge Stream Restoration & Mitigation LLC